

Outlook Brief: JPM — 2026-q2 (30 June 2026)

1. Outlook in brief

This run's headline figures cover the **3 months to 30 Jun 2026**. Excluding significant items, the firm reported net income of \$16.9 billion, EPS of \$6.14 and an ROTCE of 23% [claim-001], on revenue up 15% year-on-year [claim-002]. That was comfortably ahead of the pre-event consensus of \$5.67 per share and sat in the upper half of the \$5.09 to \$6.56 estimate range [claim-055][claim-056][claim-070].

Our interpretation is that this was a genuinely exceptional quarter whose composition matters more than its size. The evidence suggests the beat was driven disproportionately by market-sensitive activity that management itself declines to extrapolate, while the durable, balance-sheet-driven part of the franchise improved by a much more ordinary amount. The direction over the next reported period therefore depends less on whether the franchise is performing well — the evidence says it is — and more on how far capital-markets revenue normalises from a level management has explicitly described as hard to repeat [claim-030] [claim-031].

For the financial year, management's own raised guidance is the most reliable anchor available in this evidence, and it points to continued growth in net interest income alongside a broadly matching increase in expenses [claim-021][claim-026].

2. What changed

Full-year net interest income excluding Markets guidance was revised up from \$95 billion to \$96.5 billion, with total NII now guided to approximately \$105.5 billion and Markets NII to about \$9 billion [claim-021] [claim-024].

The adjusted expense outlook was raised to about \$107.5 billion [claim-022], an increase of \$2.5 billion on the prior guide [claim-026].

The Card net charge-off rate outlook was cut to approximately 3.2%, which management attributed to better-than-expected consumer credit performance [claim-023].

The Board signalled an increase in the quarterly dividend to \$1.65 per share effective in the third quarter [claim-007].

Consumer deposit growth guidance was explicitly left unchanged at low-to-mid single digits [claim-039] — worth noting because it is the one major forward number management did *not* revise upward in an otherwise uniformly raised outlook.

3. Management guidance

Management gave quantitative full-year guidance across four lines: NII excluding Markets of about \$96.5 billion, total NII of approximately \$105.5 billion and Markets NII of about \$9 billion [claim-021]; adjusted expenses of about \$107.5 billion [claim-022]; and a Card net charge-off rate of approximately 3.2% [claim-023].

Two qualifications attach to that guidance. First, management said the upward NII revision was driven principally by deposit balances across Wholesale and Consumer, with rates a smaller contributor [claim-025] — a balance-driven revision is more durable than a rate-driven one, but it is also more exposed to the yield-seeking deposit flows management separately flagged as a risk [claim-040]. Second, and much more minor, roughly \$150 million of the Markets NII increase is not expected to be offset in the bottom line — an exception to the firm's usual rule, but one management itself called quite small and, at the level of the company, left pocket to right pocket [claim-054].

On investment banking, guidance was deliberately qualitative: management expects activity levels to remain healthy while stating that conversion depends on market conditions [claim-014].

4. Business drivers

Capital markets did the heavy lifting. CIB revenue rose 27% year-on-year [claim-011], within which equities revenue rose 86% [claim-016] against Fixed Income up 6% [claim-015]. Investment banking fees rose 30% [claim-012].

The consumer franchise grew steadily rather than spectacularly. CCB revenue rose 8% year-on-year [claim-008], with Banking & Wealth Management average deposits up 3% year-on-year and net new checking account growth above 500,000 accounts [claim-009], and client investment assets up 21% [claim-010].

Asset & Wealth Management compounded. AWM revenue rose 19% with a 38% pre-tax margin [claim-017], on \$50 billion of long-term net inflows in the quarter [claim-018] and AUM of \$5.1 trillion, up 18% [claim-019].

Costs rose with revenue. Expenses of \$27.3 billion were up 15% [claim-003], against revenue growth of 15% excluding significant items [claim-002]. We do not treat that as an exact like-for-like match: the transcript attaches the ex-significant-items qualifier to revenue and then states expenses without restating it, so the two rates may not be struck on the same basis, and the archived evidence cannot settle it. Management's explanation is that the capital markets complex outperformed its earlier expectations by \$6.5 billion in the first half, against which \$1.5 billion of additional expense was booked [claim-027].

Capital was deployed rather than accumulated — and management says that is the point. The standardized CET1 ratio fell 20 basis points to 14.1% as net income was more than offset by higher RWA and capital distributions [claim-005], with standardized RWA up approximately \$103 billion on Markets financing and traditional lending growth [claim-006]. Read alone that looks like a constraint tightening. Management's own position cuts the other way: the CEO said the firm still has roughly \$40 billion of excess capital and now thinks it could actually deploy it over time [claim-043], with the stated goal of deploying capital at a 17% return [claim-044]. On that reading the CET1 decline is intentional deployment into client growth, not erosion. Our interpretation is that both readings are live, and the distinction is empirical rather than rhetorical: it turns on the return the deployed capital earns, which this quarter's evidence cannot yet show. An analyst pressed the adjacent question directly, asking why the firm is buying back stock at 3 times tangible book when conditions are this good [claim-046].

Separately, the firm increased the equity allocation to the CIB during the quarter [claim-053] — on management's own characterisation of that same passage, a movement of equity between pockets of the one company [claim-054] rather than a group capital outflow. It is not evidence either way on the question above.

5. Base case

Conditions. Capital-markets activity normalises part-way from this quarter's level rather than either holding or collapsing, the labour market stays resilient so consumer credit continues to behave [claim-037], and deposit balances hold up broadly in line with the unchanged consumer growth expectation [claim-039].

Mechanism. The revised NII guidance is balance-driven rather than rate-driven [claim-025], so it survives a partial normalisation of trading and banking revenue. Expenses, by contrast, carry a large revenue-linked variable component [claim-027], so a fall in capital-markets revenue takes some of its own cost base with it.

Consequence. Reported earnings step down from this quarter's level without the underlying franchise deteriorating, and full-year outcomes land near the guided NII and expense figures [claim-021][claim-022].

Observable indicators. NII excluding Markets tracking toward the raised \$96.5 billion full-year figure [claim-021]; the Card net charge-off rate holding at or below the guided approximately 3.2% [claim-023]; equities revenue falling back from its 86% year-on-year growth rate without dragging fee businesses with it [claim-016].

The strongest evidence *against* this base case is that it takes management's "normalisation without deterioration" framing largely at face value. The counter-reading is set out in section 7, and one piece of it — the firm's investment banking fee growth trailing its closest peers [claim-073] — is genuinely awkward for the view that this franchise is simply harvesting an industry-wide boom better than others. We lead with the base case above nonetheless, because the guidance revisions that are *least* dependent on market conditions (deposit-driven NII [claim-025], a reduced card loss rate [claim-023]) all moved favourably, and those are the parts of the outlook the evidence supports most directly.

6. Upside case

Conditions. The pipeline conversion management describes as robust actually materialises [claim-013], and the dynamic management described — current activity levels encouraging more activity [claim-013] — persists into the second half.

Mechanism. Investment banking fees grew more slowly than the trading line this quarter [claim-012][claim-016], and management says they were not at super peak levels by historical standards and had some room to come up [claim-076]. A fee-led rather than trading-led second half would be more repeatable and less capital-intensive than this quarter's mix.

Consequence. Revenue holds nearer this quarter's run-rate with a better quality of earnings, and the capital deployed this quarter [claim-005] earns closer to the 17% return management set as its goal [claim-044].

Observable indicators. Investment banking fee growth closing the gap to peers rather than widening it [claim-073]; announced-deal conversion continuing at the "healthy" activity levels management guided to [claim-014]; and the 20 basis point CET1 decline recorded this quarter [claim-005] being followed by evidence that the capital went out at the intended return [claim-044] rather than by a further unexplained decline.

7. Downside case

Conditions. The equities result proves to be the peak management implies it is [claim-030][claim-031], *and* the second-half banking pipeline turns out to have been partially consumed by this quarter's pull-forward

[claim-029].

Mechanism. Both of the quarter's two largest revenue accelerants reverse at once, while the expense base does not fall as fast: \$1.5 billion of the \$2.5 billion expense guidance increase is already booked and therefore not reversible if revenue falls [claim-028][claim-074]. A separate, slower channel operates through deposits, but only on a materially higher trigger than rates merely staying elevated: management framed the convexity risk around a true change in rate regime, illustrated with a 7% rate environment, and said the effect has not appeared so far in this cycle [claim-038]. Were such a regime to arrive, a repricing of the deposit franchise could be forced, against yield-seeking flows already identified as a live risk [claim-040].

Consequence. Negative operating leverage of the kind an analyst already put to management on year-to-date figures [claim-047] reasserts itself, with a higher expense base carried against a normalised revenue line.

Observable indicators. Equities revenue reverting sharply from its 86% growth rate [claim-016]; investment banking fees falling rather than converting from the pipeline [claim-012]; consumer deposit growth undershooting the unchanged low-to-mid single digit expectation [claim-039]; any deterioration in the cohort with negative real wage growth management named as a watch area [claim-036]; and, more slowly, the "very mild" credit underwriting deterioration the CEO described [claim-041] broadening beyond the individual data-centre deals the firm declined [claim-042].

A second downside channel is not market-driven at all. Management said the succession timetable is unchanged at "several years, plus or minus" and entirely the Board's decision [claim-051], following the appointment of two Co-Presidents [claim-052]. This is a key-person exposure that no quarterly number captures.

8. What to monitor

- **NII exit run-rate versus the \$96.5 billion full-year figure** — management attributed the revision principally to deposit balances, and that driver mix (balances versus rates) determines how durable it is [claim-021][claim-025].
- **Card net charge-off rate against the approximately 3.2% guide** — the one credit number management actively improved this period [claim-023].
- **Equities revenue normalisation from 86% year-on-year growth** — the single largest swing factor in the quarter and the one management most explicitly refused to extrapolate [claim-016][claim-031].
- **Investment banking fee growth relative to peers** — JPMorganChase's 30% [claim-012] against Bank of America's 50% [claim-065] is the clearest competitive signal in this evidence [claim-073].
- **CET1 rebuild against RWA growth, tested against the returns it buys** — a further decline from 14.1% alongside continued RWA expansion [claim-005][claim-006] matters only if the deployed capital does not earn the 17% return management set as the goal [claim-044]; against the roughly \$40 billion of excess capital management says it still holds [claim-043], the same decline reads as intended deployment. Watch which of the two the returns support.
- **Second-half expense delivery against the \$107.5 billion outlook** — specifically whether the \$1 billion implicitly added for the second half is spent as revenue-linked cost or as discretionary investment [claim-022][claim-028].
- **Token and AI-related expense** — trivial for the full year on management's own account and explicitly not a meaningful driver of the current outlook or of the revision to it [claim-048], but forecast to accelerate meaningfully in the second half [claim-048] and named by management as an important

question going into next year and the subsequent years [claim-077]. A forward cost line to watch, not a current one.

- **Deposit repricing behaviour if rates rise further** — the convexity effect management said has not yet appeared but must eventually [claim-038].

9. Uncertainties and missing evidence

The headline basis is not the statutory basis. The \$6.14 EPS management framed the quarter around excludes significant items; the diluted EPS subsequently filed with the SEC for the same quarter was \$7.70 [claim-071]. Any comparison of "the beat" therefore depends on which basis is used, and the consensus source this run cites does not state which basis its \$5.67 estimate is struck on [claim-055]. This is a real limitation on the precision of the surprise claim, not a defect in either source.

No total revenue figure was stated on the call. Management gave a growth rate [claim-002] and segment-level revenues, but no consolidated revenue number, so the revenue side of the consensus comparison [claim-055] cannot be closed from this evidence at all. Only the EPS side of the surprise is verifiable here.

Peer results were same-day, not prior. The four peer sources used here were published on the day of the call (each is dated 14 July 2026 in the archived source). Goldman Sachs' numbers were demonstrably available to management, who said so on the call [claim-075][claim-060], but the Bank of America [claim-062], Citigroup [claim-067] and Wells Fargo [claim-069] results should be read as *our* comparative context, not as information management had when framing its own outlook.

Two archived web sources were excluded on temporal grounds. Both carried provider metadata that did not mark them post-event, but their content contained post-event actuals for this very quarter. Using either as a pre-event "expectation" would have manufactured a circular surprise. The consensus figures cited here come only from the source published before the event [claim-055].

Management opinion is doing real work in this brief. The judgment that the equities result is unlikely to repeat is management's own [claim-030][claim-031], and it is convenient for them: it lowers the bar for subsequent quarters. We have relied on it because the peer evidence independently supports a market-driven rather than firm-specific explanation [claim-072], but it remains a self-assessment, not an externally verified one.

Weakly supported: the upside case depends on pipeline conversion [claim-013][claim-014], for which this evidence contains only management's qualitative characterisation and no order-book or backlog figure of any kind.

10. Evidence appendix

- [claim-001] "the Firm delivered net income of \$16.9 billion, EPS of \$6.14 and an ROTCE of 23%" — seg-0003
- [claim-002] "Excluding the significant items, revenue was up 15% year-on-year, predominantly driven by Markets revenue, higher asset management fees in AWM and CCB, higher Investment Banking revenue, and higher deposit and loan balances, partially offset by the impact of lower rates." — seg-0003
- [claim-003] "Expenses of \$27.3 billion were up 15% year-on-year, largely driven by volume and revenue-related expense, as well as growth in front office hiring and labor inflation." — seg-0003

- [claim-005] "we ended the quarter with a standardized CET1 ratio of 14.1%, down 20 basis points versus the prior quarter, as net income was more than offset by higher RWA and capital distributions" — seg-0003
- [claim-006] "This quarter's standardized RWA increase of approximately \$103 billion is largely driven by increases in financing across our Markets business, as well as growth in traditional lending." — seg-0003
- [claim-007] "As you saw in our CCAR press release in June, the Board intends to increase the quarterly dividend to \$1.65 per share effective in the third quarter." — seg-0003
- [claim-008] "CCB reported net income of \$5.3 billion. Revenue of \$20.3 billion was up 8% year-on-year, predominantly driven by higher Card NII, largely on higher revolving balances, as well as higher operating lease income in Auto and asset management fees in Wealth Management." — seg-0003
- [claim-009] "In Banking & Wealth Management, average deposits were up 3% year-on-year and 2% quarter-on-quarter, driven by strong net new checking account growth of over 500,000 accounts this quarter." — seg-0003
- [claim-010] "Client investment assets were up 21% year-on-year, driven by market performance, along with strong flows." — seg-0003
- [claim-011] "Next, the CIB reported net income of \$9.7 billion. Revenue of \$24.9 billion was up 27% year-on-year, driven by strong performance across the businesses." — seg-0003
- [claim-012] "IB fees were up 30% year-on-year, reflecting double-digit growth across all products, with particularly strong performance in equity underwriting." — seg-0003
- [claim-013] "While this quarter's performance was supported by both some large ECM deals and the acceleration of the closure of some M&A transactions, the pipeline remains quite robust and the current activity levels seem to be encouraging more activity." — seg-0003
- [claim-014] "As a result, while conversion will obviously be dependent on market conditions, we expect activity levels to remain healthy." — seg-0003
- [claim-015] "In Markets, Fixed Income was up 6% year-on-year, with solid performance in Credit, Currencies and Emerging Markets, and Rates, partially offset by lower revenue in Commodities." — seg-0003
- [claim-016] "The equities business delivered an exceptionally strong quarter, with revenue up 86% year-on-year, reflecting the highly dynamic market conditions." — seg-0003
- [claim-017] "Turning to Asset & Wealth Management, AWM reported net income of \$2 billion, with pre-tax margin of 38%. Revenue of \$6.9 billion was up 19% year-on-year, driven by growth in management fees on higher average market levels and strong net inflows, as well as investment valuation gains, higher loan balances and higher brokerage activity." — seg-0003
- [claim-018] "Long-term net inflows were \$50 billion, with continued strength across Fixed Income and Equity." — seg-0003
- [claim-019] "AUM of \$5.1 trillion was up 18% year-on-year and client assets of \$7.7 trillion were up 19% year-on-year, driven by higher market levels and continued net inflows." — seg-0003
- [claim-021] "In terms of the full year 2026 outlook, we now expect NII ex. Markets to be about \$96.5 billion and total NII to be approximately \$105.5 billion as a function of Markets NII increasing to about \$9 billion." — seg-0003
- [claim-022] "And the new adjusted expense outlook is about \$107.5 billion" — seg-0003
- [claim-023] "Finally, we now expect Card net charge-off rate to be approximately 3.2%, reflecting better-than-expected consumer credit performance." — seg-0003
- [claim-024] "revising up from \$95 billion to \$96.5 billion for the full year" — seg-0019

- [claim-025] "Just mechanically in terms of the drivers of the upward revision, the biggest single factor is deposit balances, I would say, across both Wholesale and Consumer, both sort of the overall quantum of it, but also like mix shift inside of that in favor of slightly higher margin overall." — seg-0019
- [claim-026] "we did revise up this year's expense guidance by \$2.5 billion, which is not a trivial number" — seg-0054
- [claim-027] "since then, in the first half of this year, the capital markets complex has outperformed our then expectations by \$6.5 billion, and we have booked in the first half of the year \$1.5 billion of additional expenses associated with that" — seg-0054
- [claim-028] "of the \$2.5 billion that we increased guidance, \$1.5 billion is essentially already booked and a direct sort of happy consequence of the exceptionally strong performance. And then, yeah, we've implicitly added \$1 billion for the second half of the year" — seg-0054
- [claim-029] "And I think clearly, there was some pull forward, and clearly, the large deals contributed meaningfully to this quarter's results. But at the same time, the pipeline is actually quite robust" — seg-0008
- [claim-030] "But I think the particular set of things that happened in Equities this quarter, it's a little bit hard to imagine that being repeated, but the background environment is quite supportive." — seg-0008
- [claim-031] "But I just think like statistically, it seems improbable that that particular combination of effects could repeat itself. But it obviously could." — seg-0069
- [claim-036] "a cohort of consumers who are experiencing negative real wage growth and that potentially creating some distress for those folks. Now, some of that statistically is kind of always going to be true in any moment in time in any cohort. But that's probably a watch area." — seg-0076
- [claim-037] "But as I always say, when it comes to Consumer credit performance, it's just about the labor market." — seg-0076
- [claim-038] "And that's one of the reasons why it's important not to be naïve about higher rates. Because if you simply take our current EaR, even recognizing that locally, the empirical EaR is probably higher than our reported EaR, and you ignore the convexity dynamics, you could convince yourself that a 7% rate environment is great." — seg-0041
- [claim-039] "On Consumer, we talked about expecting low (sic) [low-to-mid-] single digit growth this year, and that expectation is still in effect, it's unchanged" — seg-0013
- [claim-040] "And in light of the fact that the rate environment is a little bit more hawkish, yield-seeking flows are still a factor and probably a little bit of a risk." — seg-0013
- [claim-041] "We didn't talk about a huge deterioration in credit underwriting standards. I think we talked about it as a very mild one, but it's across several spectrum" — seg-0091
- [claim-042] "And we have a pretty precise framework to govern what we're willing to do and what we're not willing to do in that space across those types of risks. And we saw some deals come through, where we were just like, yeah, we're not doing that." — seg-0090
- [claim-043] "We still think the number – use just approximately \$40 billion, and I think we now think we could actually deploy that over time." — seg-0079
- [claim-044] "so the goal is to deploy our capital at a 17% return. That is the goal, which we think we can do over time." — seg-0079
- [claim-046] "But I guess the question would be, why buy back stock here at 3 times tangible book when things are so good, bad things could happen?" — seg-0077
- [claim-047] "But if we look at year-to-date results, it's been a strong revenue environment, but I think operating leverage on an adjusted basis was negative." — seg-0031

- [claim-048] "So, just for the avoidance of doubt, it is a trivial number for the first half of the year. We are forecasting some meaningful acceleration in that number for the second half of the year. But still nonetheless, the full year contribution of that is still trivial, and obviously, we had budgeted some of that. So, it's not in any way a meaningful driver of the current outlook or to the revision in the outlook." — seg-0101
- [claim-051] "Several years. You can use a few years. You can use plus or minus. Obviously, it's totally up to the Board, not up to me." — seg-0028
- [claim-052] "But the Board made a decision to go ahead with making two Co-Presidents, which will be preparing them to do far more at the company and be prepared, hasn't changed the timetable or anything" — seg-0006
- [claim-053] "you will have noted that we actually increased the equity allocation to the CIB this quarter for reasons that I think are pretty obvious in light of the amount of growth of supporting clients that we've done and the way that's playing through RWA" — seg-0021
- [claim-054] "This piece, which to be fair is quite small, it's probably like \$150 million, is a part of the increase that we would not expect to be offset in the bottom line, all else equal. And so, obviously, it's left pocket, right pocket at the level of the company." — seg-0021
- [claim-055] "The consensus among 14 analysts calls for earnings of \$5.67 per share on revenue of \$50.54 billion." — web-001
- [claim-056] "The estimate range reflects meaningful variation in views, with EPS forecasts spanning \$5.09 to \$6.56 and revenue projections stretching from \$47.42 billion to \$55.97 billion" — web-001
- [claim-060] "today reported net revenues of \$20.34 billion and net earnings of \$6.63 billion for the second quarter ended June 30, 2026. Diluted earnings per common share (EPS) was \$20.98 and annualized return on average common shareholders' equity (ROE) was 23.5% for the second quarter of 2026." — web-005
- [claim-062] "Bank of America Reports 2Q26 Net Income of \$9.1 Billion; EPS of \$1.21, Up 34% YoY" — web-002
- [claim-065] "Total Corporation investment banking fees (excl. self-led) of \$2.1 billion increased 50%, reflecting strength across debt underwriting, advisory and equity underwriting" — web-002
- [claim-067] "Citigroup Inc. today reported net income for the second quarter 2026 of \$5.8 billion, or \$3.15 per diluted share, on revenues of \$24.8 billion." — web-004
- [claim-069] "Wells Fargo Reports Second Quarter 2026 Net Income of \$6.4 billion, or \$2.00 per Diluted Share" — web-003
- [claim-070] "The consensus among 14 analysts calls for earnings of \$5.67 per share on revenue of \$50.54 billion." — web-001
- [claim-071] "the Firm delivered net income of \$16.9 billion, EPS of \$6.14 and an ROTCE of 23%" — seg-0003
- [claim-072] "Equities revenue increased 70% to \$3.6 billion (incl. and excl. net DVA),4 driven by increased client activity and strong trading performance in derivatives and cash, particularly in Asia and the U.S." — web-002
- [claim-073] "Total Corporation investment banking fees (excl. self-led) of \$2.1 billion increased 50%, reflecting strength across debt underwriting, advisory and equity underwriting" — web-002
- [claim-074] "of the \$2.5 billion that we increased guidance, \$1.5 billion is essentially already booked and a direct sort of happy consequence of the exceptionally strong performance. And then, yeah, we've implicitly added \$1 billion for the second half of the year" — seg-0054
- [claim-075] "We had pointed out before, very good competition, not just not just Goldman Sachs, who's doing a great job, if you didn't read their numbers this morning, because I did." — seg-0079

- [claim-076] "by historical standards, investment banking fees were fine, but they weren't at sort of super peak levels. So, they had some room to come up a little bit." — seg-0008
- [claim-077] "But it is an important question for us as we go into next year and the subsequent years." — seg-0101